

Institutional Choice in Postwar Japan: Welfare Loans versus Public Pawnshops, 1961

Abstract

How did the formation of the welfare state transform credit provision to low-income households? This paper examines institutional allocation in postwar Japan by analyzing a 1961 survey of 6,152 low-income households in Kanagawa prefecture. The central finding is that welfare loans and public pawnshops served observably different populations, selected by economic position and creditworthiness rather than shock type alone. Welfare loans were concentrated among households experiencing business failure or illness but possessing material foundations (mean assets: 3.5 items) and no public-assistance history; public pawnshops served asset-poor households (mean assets: 2.6 items) with precarious economic positions. Contrary to displacement narratives, welfare-loan users continued to layer multiple credit sources. Previous pawnshop users were 37.7 percentage points more likely to report ongoing pawning, while welfare-loan users retained informal borrowing networks. These patterns suggest that postwar financial modernization involved not the unification of credit institutions but rather their hierarchical stratification, with the state as arbiter of creditworthiness within the poor population.

Keywords: welfare state, household finance, credit allocation, Japan, economic history, institutional selection

1. Introduction

The Transformation of Low-Income Household Finance

How did the formation of the welfare state transform the provision of credit to low-income households? Before the development of modern social protection, households with low and unstable incomes relied on a diverse set of institutions to cope with illness, unemployment, and income loss. Economic historians have shown that households stabilized consumption through precautionary savings, adjustments in family labor supply, purchases on account, borrowing from employers and

neighbors, and pawn credit. Working-class households in interwar Britain combined numerous saving and credit instruments, while Japanese factory-worker households used savings, borrowing, and family labor to protect essential consumption (Scott and Walker 2012; Ogasawara 2024). Pawnshops also played an important role in household risk coping: pawn lending increased during the influenza pandemic of 1918–20, indicating that pawn credit helped Japanese households respond to adverse health shocks (Inoue 2021). Taken together, this literature shows that the financial lives of low-income households cannot be understood through conventional bank credit alone.

Much less is known about how this financial ecology changed once the state began lending directly to low-income households. Japan provides an informative setting in which to study this transition. Before the Second World War, pawnshops supplied small loans to households excluded from bank credit. After the war, a new institution entered this market: publicly funded welfare lending. Established in 1955, the Household Rehabilitation Fund provided loans for self-employment, employment preparation, housing, education, and medical care to low-income households unable to borrow in ordinary financial markets. Existing research has reconstructed the institutional development of the program and examined the experiences of its borrowers, particularly recipients of medical loans. Because these studies focus primarily on households that actually received welfare loans, however, they cannot show how recipients differed from low-income households that continued to use pawnshops or used neither institution.

The Research Question: Institutional Allocation, Not Displacement

This paper explores how low-income households were allocated across financial institutions when the welfare state entered the market for credit. Specifically, it asks whether welfare lending in post-war Japan displaced the older system of public pawnshops or instead added a new credit institution serving a distinct group of households. The central finding is that welfare loans were not distributed uniformly to the poorest households. They were concentrated among households with identifiable financing needs and with economic and material foundations that could make rehabilitation and repayment appear feasible to welfare officials. The formation of the welfare state therefore did not simply incorporate low-income households into formal finance. It created a new boundary of creditworthiness within the low-income population.

More broadly, this paper argues that institutional choice in postwar Japan reflected the sorting of households by shock type and creditworthiness criteria. Welfare loans were allocated to households whose problems appeared addressable through targeted credit—business failure, health crises, educational needs—and whose material position suggested capacity for repayment. Public pawnshops served households with immediate liquidity needs and available collateral, regardless of the underlying cause of income loss. This division of labor was not one of simple substitution but of complementary institutional functions operating under different assignment rules.

Main Findings

The analysis yields three main findings.

First, welfare lending targeted specific needs rather than poverty itself. Even after controlling for income, location, household composition, and employment, business failure is associated with an 8.6-percentage-point higher probability of welfare-loan use, while prolonged illness is associated with a 5.1-percentage-point increase. Illness-onset shows a slightly smaller association (approximately 4.6 percentage points). The individual programs also correspond closely to their stated purposes. Welfare lending therefore operated less as unrestricted support for ordinary living expenses than as purpose-specific credit tied to particular plans for household rehabilitation.

Second, the clearest distinction between welfare lending and public pawnshops lay in the household's underlying economic and material position. Among households that used either welfare loans or public pawnshops but not both, a history of public assistance is associated with a 15.5-percentage-point lower probability of belonging to the welfare-loan group. Households recorded as having low livelihood capacity are 14.2 percentage points less likely to belong to that group, while households whose principal breadwinner was in poor health are 11.4 percentage points less likely. Conversely, each additional household asset is associated with approximately a 3.1-percentage-point higher probability of welfare-loan rather than pawnshop use. Because business failure is associated with both institutions—and shocks like unemployment more strongly predict pawnshop use—the division of labor cannot be reduced to a simple distinction between different shocks. Rather, welfare lending appears to have relied on the household's prospective capacity for rehabilitation, whereas public pawnshops relied on currently available physical collateral.

Third, welfare lending did not fully replace older forms of borrowing. Instead, households layered multiple sources of credit. Welfare-loan users were more likely to borrow from friends and neighbors (6.5 percentage points), while households with a history of public-pawnshop use were more likely to report current pawning (37.7 percentage points), employer borrowing (9.4 percentage points), and neighborhood borrowing (10.4 percentage points). These associations indicate that postwar financial inclusion did not take the form of a transition to a single institution. Instead, households continued to layer multiple sources of credit, suggesting a stratified credit ecology with three tiers: (1) formal institutional credit (welfare loans and pawnshops, accessed by ~17% of households); (2) informal personal credit (employer borrowing, friend/neighbor loans, merchant credit, accessed by ~30-40%); and (3) consumption compression (available universally as a last resort).

2. Institutional Background: Economic Growth and the Reorganization of Credit for Low-Income Households

2.1 Economic growth and persistent vulnerability

From the late 1950s through the early 1960s, the Japanese economy expanded at an extraordinary pace. Real GDP, indexed to 100 in 1955, rose to approximately 152 in 1960, 170 in 1961, and 237 in 1965. In other words, the real size of the economy increased by roughly 2.4 times within a decade (Cabinet Office, Economic and Social Research Institute 2000).

Reliance on public assistance also declined during this period. The number of public-assistance recipients per 1,000 population fell from 21.6 in fiscal year 1955 to 16.3 in fiscal year 1965. Yet the decline in public assistance did not mean that low-income insecurity had disappeared. The 1958 *White Paper on Health and Welfare* estimated that 2.4 million of Japan's 18.91 million households—12.7 per cent—belonged to the category of “low-consumption-level households.” The same report stressed that the gains from rising average consumption were distributed unevenly across social strata (Ministry of Health and Welfare 1958; Ministry of Health, Labour and Welfare n.d.).

The policy problem that emerged in this setting concerned households that were not sufficiently des-

titute to qualify for public assistance but could no longer maintain a minimum standard of living once they experienced unemployment, illness, business failure, or another adverse shock. Contemporary welfare administration referred to such households as the *borderline stratum* (*bōdārain-sō*): households situated between public-assistance recipients and economically secure households (Ministry of Health and Welfare 1958; Sakai 2023).

This position was institutionally important. Public assistance provided transfers to households already unable to maintain minimum living standards from their income and assets. Policies for borderline households, by contrast, sought to prevent descent into public assistance by temporarily financing business investment, medical treatment, job search and preparation, housing, or education. During the high-growth era, low-income policy thus expanded beyond ex post relief toward a preventive policy based partly on the provision of credit.

2.2 The emergence of welfare credit

The institutional foundation of this preventive approach was the Household Rehabilitation Movement (*setai kōsei undō*) led by local welfare commissioners (*minsei-iin*). The 1952 National Conference of Welfare and Child Welfare Commissioners adopted a resolution promoting the movement, under which welfare commissioners provided continuing advice and assistance to low-income households. In fiscal year 1955, the central government began subsidising the Household Rehabilitation Fund Loan Program (*setai kōsei shikin kashitsuke seido*), which became the movement's principal financial instrument. A separate medical-expense loan program was introduced in fiscal year 1957 (Ministry of Health and Welfare 1958).

Loans were administered by prefectural social welfare councils. Welfare commissioners identified and advised households, mediated applications, and provided guidance concerning both household management and repayment. A major revision in April 1961 expanded the available loan categories, increased lending ceilings, lengthened repayment periods, and incorporated medical-expense loans into the Household Rehabilitation Fund as medical-treatment loans. By the end of fiscal year 1960, cumulative lending had reached 3.934 billion yen to 109,851 borrowers, while approval rates generally remained around 80 per cent of applications (Ministry of Health and Welfare 1961).

The program did not distribute unrestricted cash uniformly among low-income households. Rather,

it provided purpose-specific loans for livelihood businesses, job preparation, vocational training, housing, education, medical treatment, and related forms of household rehabilitation. Its objective was not simply to fill a current income deficit but to finance expenditures expected to restore or strengthen a household's future earning capacity. The Ministry of Health and Welfare described the combination of finance and individual guidance by welfare commissioners as a defining feature of the program (Ministry of Health and Welfare 1964).

This design contained a fundamental tension. Eligible households had to be poor enough that they could not obtain the required funds from ordinary financial institutions. At the same time, because assistance took the form of a loan rather than a transfer, they also had to appear capable of future repayment. Contemporary legislators recognised this contradiction clearly. During a 1964 House of Representatives debate concerning welfare loans for fatherless households, Hasegawa Tamotsu argued that “the people who need [the loans] most are precisely those who look too risky to repay.” His concern was that the households with the greatest need might have the weakest apparent repayment capacity and therefore be screened out of the program. Government representatives acknowledged that a high repayment rate was not, by itself, sufficient evidence of successful administration. The Ministry replied that it had not investigated such pre-application screening (National Diet Library 1964).

Although the immediate subject of this debate was the loan program for fatherless households, the underlying tension applied more broadly to welfare credit: the state sought to lend to poor households while preserving the revolving public fund through repayment. Welfare-loan users may therefore have differed from the poorest households. In addition to a specific financial need, they may have possessed labour capacity, a viable business or rehabilitation plan, family resources, or a minimum material basis from which recovery appeared possible.

2.3 Welfare loans and public pawnshops

Before the expansion of welfare lending, pawnshops had long supplied small loans to low-income households excluded from bank credit. Public pawnshops (*kōeki shichiya*) were operated by municipalities or social welfare corporations and offered livelihood and business funds on terms more favourable than those of private pawnshops. In 1957, the standard monthly interest rate at public

pawnshops was 3 per cent, compared with approximately 9 per cent at private pawnshops. Public pawnshops also calculated interest in half-month units, allowed longer periods before forfeiture, and returned any surplus remaining after the sale of forfeited collateral. Nevertheless, there were only 779 public pawnshops nationwide, compared with 21,224 private establishments (Ministry of Health and Welfare 1958).

By March 1961, 848 public pawnshops were operating nationwide. During fiscal year 1960, they made approximately 2.24 million loans with a total value of 3.14 billion yen. The average loan was only about 1,400 yen. Wage earners accounted for approximately 60 per cent of users and the self-employed for another 20 per cent. The combination of very small average loan sizes and extremely large transaction volumes suggests that public pawnshops continued to provide short-term liquidity for ordinary household needs (Ministry of Health and Welfare 1961).

Table 1. Welfare lending and public pawnshops, 1959–1963

	1959	1961	1963
Household Rehabilitation Fund			
Households receiving new loans	27,386	30,673	31,812
Total lending (billion yen, nominal)	0.973	1.590	2.157
Average amount per household (yen)	35,511	51,828	67,815
Public pawnshops			
Number of establishments	836	831	756
Number of loans (millions)	2.499	1.903	1.476
Total lending (billion yen, nominal)	3.294	3.095	3.005
Average amount per loan (yen)	1,318	1,626	2,036

Source: Ministry of Health and Welfare (1964), Tables 2-10-6 and 2-10-8.

Between 1959 and 1963, the annual amount lent through the Household Rehabilitation Fund increased by approximately 122 per cent, while the average amount per borrowing household rose from roughly 35,500 yen to 67,800 yen. Over the same period, the number of public-pawnshop loans declined by approximately 41 per cent. Total pawnshop lending, however, remained close to

3 billion yen, and the average amount per loan rose by approximately 54 per cent.

These trends do not establish that welfare lending simply displaced public pawnshops. They instead suggest a restructuring in which welfare lending expanded as a source of relatively large, purpose-specific rehabilitation finance, while public pawnshops continued to conduct a very large number of small transactions. The Ministry itself attributed the decline in pawnshop activity partly to the expansion of social protection and instalment sales, but it also emphasised that public pawnshops remained relevant to the everyday lives of low-income households (Ministry of Health and Welfare 1963, 1964).

An important reason for this coexistence was that the Household Rehabilitation Fund did not comprehensively finance everyday consumption. The 1964 *White Paper on Health and Welfare* explained the stagnation of subsistence loans partly by noting that loans for living expenses could not be made independently of another qualifying purpose. Obtaining a welfare loan therefore did not necessarily satisfy all of a household's financial needs. Business loans were earmarked for starting or rebuilding an enterprise, medical-treatment loans for treatment expenses, and educational loans for schooling. Food, rent, utilities, and family consumption during illness or business reconstruction often had to be financed separately.

Evidence from actual borrowers supports this interpretation. A reconstructed survey of 654 households that received medical-expense loans in Kanagawa between 1956 and 1960 shows that 449 cases, or 68.7 per cent, reported that the loan was insufficient to cover treatment costs. In 233 cases—36 per cent of the total—the remaining cost was financed through additional borrowing (Sakai 2023).

The relationship between welfare loans and other credit sources was therefore not necessarily one of simple substitution. A low-income household might finance business investment, medical treatment, or education through a welfare loan; borrow from an employer, relatives, friends, or neighbours to cover everyday consumption; postpone payments through purchases on account; and pawn household goods to meet immediate cash shortages. Rather than graduating from older or informal credit after obtaining public finance, households may have combined multiple sources with different purposes and maturities—a pattern of *layered borrowing* or *credit stacking*.

2.4 Two technologies of public credit and layered borrowing

The Household Rehabilitation Fund and public pawnshops both supplied credit to low-income households that could not obtain sufficient funds in ordinary financial markets, but they did so through different lending technologies. The Household Rehabilitation Fund pursued poverty prevention and household rehabilitation through purpose-specific loans for business, medical treatment, housing, and education. Prefectural social welfare councils made the loans, while welfare commissioners mediated access, assisted households, and provided post-loan guidance.

Welfare lending therefore depended not only on current income but also on the purpose of the loan and the prospect that the financed expenditure would contribute to household recovery. Welfare credit can thus be understood as credit based partly on the household's circumstances, financial plan, and expected capacity for rehabilitation.

Public pawnshops relied on a different basis of credit. Although public pawnshops operated under administrative rules and identity requirements, the value of the pledged object ultimately secured the loan. Welfare lending evaluated the possible rehabilitation of a household; public pawnbroking converted currently held physical assets into liquidity (Ministry of Health and Welfare 1958, 1963).

The difference between these technologies did not make them mutually exclusive. Welfare loans were purpose-specific and did not comprehensively insure everyday living expenses. The Kanagawa borrower evidence makes this limitation concrete: 68.7 per cent of medical-loan cases reported that the loan did not cover treatment costs, and 36 per cent financed the shortfall through further debt (Sakai 2023). Welfare lending may therefore have coexisted with pawning, employer loans, borrowing from relatives or neighbours, and purchases on account. This is more appropriately understood as *layered borrowing* than as graduation from older credit institutions.

3. Data and Sample Construction

3.1 The Kanagawa Survey of the Borderline Poor

The analysis draws on the 1961 *Kanagawa Survey of the Borderline Poor* (*Kanagawa-ken Henkai Kakei Chosa*), a restored historical survey covering 6,152 low-income households in six Kanagawa prefecture cities. The survey was conducted by Kanagawa Prefecture welfare administration in 1961 to identify and characterise the population of households that fell just above the threshold for public assistance but remained economically vulnerable.

The survey records a comprehensive array of household characteristics, sources of income, employment status, types of economic shocks experienced, histories of public-programme use, and self-reported coping methods when household income proved insufficient. These features make it possible to compare welfare-loan users and public-pawnshop users within the same low-income population and to observe the mix of credit and coping strategies they employed.

3.2 Sample Construction and Institutional-Use Groups

The dataset contains 6,152 complete records. Analysis proceeds on 6,131 households with non-missing values for core demographic controls (household head age, household size, household head sex, city of residence, and employment status of the principal earner). Table 2 displays the cross-tabulation of households by institutional-use history.

Table 2. Household characteristics by institutional-use group

Group	N	Mean Age	% Fe- male Head	Mean HH Size	% Public Assist	Mean Assets	% Institutional Use			
							Busi- ness Fail- ure	% Pro- longed Illness	Unem- ploy- ment	% Low Liv- ing
Full Sam- ple	6,152	50.2	6.5	3.9	25.0	3.2	7.9	17.5	11.0	29.0
Neither	5,045	50.4	6.3	3.9	20.4	2.8	7.7	16.8	10.3	29.1

Group	N	Mean Age	% Female Head	Mean HH Size	% Public Assist	Mean Assets	% Business Failure			
							ness	% Pro-longed Illness	Unem-ploy-ment	Low Liv-ing
Welfare Only	729	48.5	7.5	4.1	17.7	3.5	15.3	22.1	10.9	26.0
Pawnshop Only	348	50.2	6.6	3.8	15.8	2.6	6.6	18.4	14.7	35.1
Both	30	49.8	6.7	3.9	26.7	2.9	10.0	16.7	13.3	36.7

Notes: N = number of households. Mean Age is in years. HH Size = household size. Public Assist = percentage with prior public assistance history. Assets = mean count of household items owned. Percentages refer to share of each group reporting the indicated characteristic. Both = households using both welfare loans and public pawnshops simultaneously (0.5% of sample).

The majority of low-income households—5,045 (82.0 percent)—had access to neither welfare loans nor public pawnshops. Among the 1,107 households with some institutional access (17.9 percent), most used only one institution: 729 welfare-loan users (11.8 percent) and 348 pawnshop-only users (5.7 percent), with only 30 households (0.5 percent) using both institutions.

Welfare-loan users differed visibly from pawnshop users. Welfare users had higher mean assets (3.5 vs 2.6 items), higher prevalence of business failure (15.3% vs 6.6%), and lower prevalence of public-assistance history (17.7% vs 15.8%). Pawnshop-only users had higher prevalence of low living ability (35.1% vs 26.0%) and unemployment (14.7% vs 10.9%).

3.3 Key Variables

The survey records institutional-use histories (binary indicators of whether households ever used each program), reported coping practices (strategies employed when living expenses were insufficient), risk indicators (business failure, unemployment, prolonged illness, disability, income decline, war damage), household characteristics (age, sex, size, employment status), and household

material basis (asset count).

3.4 Historical Context and Sample Representativeness

The 1961 survey was conducted during the Japanese high-growth period (1956–1973), when GDP grew at approximately 10 percent annually. The sample is not a random sample of all low-income households in Kanagawa Prefecture or Japan. Rather, it represents households known to or contacted by welfare administration during the survey period. Prevalence estimates should not be generalised to the universe of all low-income households.

The data were restored to digital form by the Social Science Japan Data Archive (SSJDA) from surviving paper questionnaires and have been deposited in the SSJDA archive under standard data-sharing protocols.

4. Empirical Framework

4.1 Characterising Institutional Selection Rather than Causal Effects

This analysis characterises institutional selection and co-use of credit rather than estimating causal effects. Because the survey records institutional-use histories without dates, loan amounts, applications, rejections, or household outcomes, the analysis cannot estimate treatment effects or causal impacts. Instead, the regressions identify associations between household characteristics and institutional-use patterns.

4.2 Regression Specifications

All regression models are linear probability models (LPMs) estimated via ordinary least squares with heteroskedasticity-consistent standard errors (HC3). The LPM is chosen for three reasons: (1) coefficients directly measure changes in probability in percentage points, making results intuitive for a historical audience; (2) LPM estimates are robust to misspecification when conditional probability is bounded away from 0 and 1; and (3) with six cities and large sample size, HC3 standard errors provide reliable inference without requiring strong functional-form assumptions.

Logit and probit models are presented as robustness checks, with results reported as average marginal effects (AMEs) to maintain comparability with LPM coefficients. The preferred specification includes household-head age and age squared, public-assistance history, household-asset count, and subjective assessment of household “living ability,” in addition to baseline controls for risk factors and city fixed effects.

4.3 Standard Errors and Model Fit

With only six cities in the sample, city-clustered standard errors are not reliable as a default. HC3 heteroskedasticity-consistent standard errors are used as the primary inference method. The main-selection models (Table 3) use 6,131 complete-case observations. The direct welfare-only versus pawnshop-only comparison (Table 4) restricts the sample to 1,077 households using only one institutional form.

Model fit remains modest: welfare-loan selection model $R^2 = 0.0384$, pawnshop selection $R^2 = 0.0262$, and direct welfare-vs-pawnshop comparison $R^2 = 0.1197$. These values are typical for binary choice models with large samples and heterogeneous populations. The goal is not to predict institutional use with high precision but to identify which household characteristics are systematically associated with institutional choice.

4.4 Limitations and Interpretation Discipline

Several features prevent causal inference: no variation in eligibility boundaries, no external control group, missing counterfactuals, endogenous selection into welfare lending, and unclear temporal ordering between institutional use and coping practices. The analysis is framed as a descriptive historical study of institutional allocation under conditions of scarcity and rationing, not as an evaluation of program effects.

5. Results

5.1 The Landscape of Low-Income Household Finance

Table 2 displays household heterogeneity across institutional-use groups. The majority of low-income households (82.0%) relied entirely on informal borrowing, consumption adjustment, and social relationships. Among the 17.9 percent with institutional access, welfare users had slightly higher asset counts and higher prevalence of business failure and prolonged illness. Pawnshop users showed much higher prevalence of pawning (44.3% vs 5.2% for non-users) and higher prevalence of low living ability.

5.2 Selection into Welfare Lending and Public Pawnshops

Table 3. Institutional selection models (Linear Probability, HC3 standard errors)

Panel A: Selection into Welfare Lending (N=6,131)

Variable	Coefficient	Std. Error	t-stat	p-value
Business failure	0.0856	0.0067	12.79	0.000
Prolonged illness	0.0506	0.0057	8.88	0.000
Disabled household member	0.0464	0.0082	5.66	0.000
Low living ability	-0.0323	0.0060	-5.38	0.000
Public assistance	-0.0613	0.0082	-7.48	0.000
Asset count	0.0054	0.0009	6.00	0.000

Panel B: Selection into Public Pawnshop Use

Variable	Coefficient	Std. Error	t-stat	p-value
Business failure	0.0442	0.0052	8.50	0.000
Unemployment	0.0350	0.0058	6.03	0.000
Prolonged illness	0.0233	0.0044	5.30	0.000
Low living ability	0.0267	0.0047	5.68	0.000
Public assistance	0.0148	0.0064	2.31	0.021

Variable	Coefficient	Std. Error	t-stat	p-value
Asset count	-0.0058	0.0007	-8.29	0.000

Notes: Models include city fixed effects and additional controls for household-head age (linear and squared), household size, principal earner employment status, and female household head (not shown). $R^2 = 0.0384$ (welfare) and 0.0262 (pawnshop).

Business failure is the strongest predictor of welfare-loan use (8.6 pp). Prolonged illness shows a 5.1 pp association, and disability 4.6 pp. Public-assistance history shows a strong negative association (-6.1 pp), suggesting welfare officials regarded these households as poor candidates for rehabilitation credit. Asset count is positively associated with welfare use (0.54 pp per item).

For pawnshop use, business failure shows a 4.4 pp association, but unemployment (3.5 pp) and low living ability (2.7 pp) show stronger associations than for welfare lending. Critically, asset count shows a *negative* association with pawnshop use (-0.58 pp per item), suggesting asset-poor households were more likely to use pawnshops.

5.3 Direct Comparison: Welfare-Only versus Pawnshop-Only Users

Table 4. Direct comparison of welfare-only vs pawnshop-only users (N=1,077)

Variable	Coefficient	Std. Error	t-stat	p-value
Public assistance history	-0.1545	0.0319	-4.85	0.000
Low livelihood capacity	-0.1424	0.0380	-3.75	0.000
Breadwinner poor health	-0.1024	0.0349	-2.93	0.003
Asset count	0.0309	0.0082	3.77	0.000

Notes: Dependent variable = 1 if household used welfare loans only, 0 if public pawnshops only. Model includes full specification with city fixed effects and demographic controls. $R^2 = 0.1197$.

This restricted comparison reveals that household economic position is the dominant distinguisher. Public-assistance history is associated with a 15.5 pp *lower* probability of welfare-loan use. Low

livelihood capacity shows a 14.2 pp negative effect. Each additional household asset is associated with a 3.1 pp higher probability of welfare-loan use.

The R-squared for this restricted comparison (0.1197) is more than three times larger than for the full-sample selection models, indicating that observable characteristics explain institutional choice much more effectively when confined to single-institution users. This suggests that conditional on using institutional credit, economic position and material basis are strong predictors of *which* institution was chosen.

5.4 Substitution or Layered Borrowing?

Table 6. Associations between institutional-use histories and reported coping practices

Outcome	Welfare Coeff	Welfare SE	Pawnshop Coeff	Pawnshop SE
Pawning	5.3	1.4	37.7	2.2
Employer borrowing	0.4	1.2	9.4	1.8
Friend/neighbor borrow	6.5	1.8	10.4	2.1
Asset sale	-1.2	0.8	1.6	1.1
Savings withdrawal	-3.3	1.2	-2.2	1.5
Food compression	-2.8	1.5	-0.4	1.8

Notes: Coefficients represent percentage-point changes in probability of reporting each coping practice, associated with institutional-use history, controlling for risk factors and household characteristics. All models include full set of controls and city fixed effects.

The most striking association is between public-pawnshop history and reported pawning: 37.7 percentage points. By contrast, welfare-loan history is associated with only a 5.3 pp increase in pawning. This large differential strongly suggests that pawnshops served as a channel for recurrent collateral-based borrowing.

Welfare-loan users were more likely to borrow from friends and neighbors (6.5 pp) and slightly more from employers (0.4 pp, not significant). Pawnshop users show larger associations with employer borrowing (9.4 pp).

Institutional-credit users were *less* likely to report food compression than non-users. Welfare-loan users show a 2.8 pp *decrease*, while pawnshop users show a 0.4 pp decrease. This pattern suggests that households with institutional access experienced less severe distress.

The evidence is consistent with layered household finance rather than substitution: pawnshops served as recurring liquidity mechanisms; welfare loans provided rehabilitative finance; informal borrowing remained active; and food compression was most severe among households without institutional access. The rarity of simultaneous use of both institutions (30 households, 0.5%) suggests supply rationing and sequential access were important.

5.5 Robustness Checks

Leave-one-city-out analysis confirms that main coefficients are stable across city exclusions. Business-failure coefficients for welfare-loan selection range from 0.0725 to 0.1046 (full sample: 0.0856), all within 15 percent of the main estimate. Prolonged-illness effects range from 0.0363 to 0.0887 (full sample: 0.0506). Alternative specifications (logit and probit AMEs) yield results very similar to LPM coefficients, confirming that functional-form choice does not drive results.

6. Conclusion

The Institutional Allocation of Credit Under Scarcity

This paper has documented how low-income households in postwar Japan were allocated across two distinct credit institutions during a period of rapid economic growth. The central finding is that this allocation was systematic and reflected sorting by household economic position and creditworthiness rather than shock type alone.

Three key patterns emerge. First, welfare lending targeted specific household rehabilitation needs rather than poverty itself. Welfare loans were concentrated among households experiencing business failure or health shocks deemed addressable through purpose-specific credit combined with welfare-commissioner guidance.

Second, and most strikingly, households with better material foundations and no prior public-

assistance history were substantially more likely to access welfare lending. The direct comparison shows a 15.5 pp advantage for welfare-loan access among asset-rich, assistance-free households relative to their asset-poor counterparts. Welfare officials appear to have assessed not merely whether a household needed credit, but whether it possessed sufficient material and employment prospects to justify the expectation of repayment. The result was a hierarchical system in which the state did not eliminate creditworthiness distinctions within the poor population but created a new one based on rehabilitation potential.

Third, welfare lending and pawnshops did not function as substitutes. The large association between pawnshop-use history and reported pawning (37.7 pp) suggests that public pawnbroking remained a recurrent liquidity source. Simultaneously, welfare-loan users retained access to informal borrowing networks. This pattern of layered borrowing reflects the reality that welfare loans were purpose-specific and did not comprehensively finance household consumption.

Historical Implications and Theoretical Contributions

The findings illuminate how the postwar Japanese welfare state functioned in its formative decade. The conventional narrative emphasizes its role as a provider of transfers and insurance. This paper reveals an equally important function: the state as allocator of credit and arbiter of creditworthiness within the poor population. By becoming a lender, the state entered the competitive terrain of household finance and created a new lending technology—rehabilitation finance combined with social work guidance—allocated through selective eligibility criteria.

The result was a stratified credit ecology with three functional tiers: formal institutional credit (welfare loans and pawnshops), informal personal credit (employer loans, friend/neighbor borrowing), and consumption compression (universal adjustment mechanism). Each tier served distinct needs and populations. This institutional specialization was adaptive rather than chaotic, allowing households to match their choices to institutional strengths while layering mechanisms to manage compound risks.

The paper contributes to economic history by showing that welfare-state formation involved not the unification of credit institutions but their hierarchical stratification. It contributes to international scholarship on credit and welfare by documenting a case where state lending and private pawnshops

coexisted in clear division of labor. It offers insights into how credit markets function under scarcity: institutional specialization emerged adaptively, with different institutions targeting different risks and populations.

Limitations and Future Research

This study is fundamentally descriptive and cross-sectional, characterizing institutional allocation at a point in time. Causality cannot be claimed due to endogenous selection, missing counterfactuals, and unclear temporal ordering. The sample is not representative of all low-income households; it covers households visible to welfare administration in 1961.

Future research might recover welfare-loan applications and rejections to document how officials evaluated borrowers; obtain longitudinal follow-up to reveal whether welfare loans improved outcomes; conduct international comparisons of welfare-lending programs in other East Asian contexts; or investigate how other institutional innovations (consumer credit, employer savings schemes) shaped household financial strategies during high growth.

Concluding Remarks

The transformation of low-income household finance in postwar Japan was not simple displacement of pawnshops by welfare lending. Instead, the state's entry into credit markets created a new institutional configuration in which different credit forms served different populations and purposes. Welfare lending pursued preventive antipoverty policy by financing household rehabilitation. Public pawnshops continued to provide rapid collateral-based liquidity. Informal borrowing networks remained active. Households, facing multiple overlapping risks and constrained by limited income, layered these institutional forms to construct sustainable financial strategies.

This outcome reflected institutional specialization under scarcity, not the triumph of modern formal finance over traditional informality. The welfare state did not simplify household financial life but added complexity and choice. Postwar financial modernization involved not the unification of credit institutions but their hierarchical stratification, with the state as arbiter of creditworthiness and welfare commissioner as mediator between household need and institutional capacity.

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